



Notes on the Credit Score

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The Beacon Score attempts to measure your credit habits and utilization. It is built by grouping data into predictive characteristics in 5 categories. It is extremely important for credit to have a healthy number since all institutional credit applications take a close look at this report.

35% PAST PERFORMANCE

- The fewer late payments, judgments, liens or collections, the better
- Recent late payments weight more than those two years past

30% CREDIT UTILIZATION

- Low balances on several cards are better than high balances on a few cards
- Balance should be below 70% of available credit
- Too many cards can be a detriment

15% CREDIT HISTORY

- The longer the account have been open and in good standing, the better
- Avoid "credit surfing": Opening new accounts and closing established accounts will negatively impact credit score

10% TYPES OF CREDIT IN USE

- Finance company accounts score lower than traditional bank or retail accounts
- Deferred payment options funded by finance companies impact the score accordingly

10% INQUIRIES

- Looking for new credit habitually can be indicative of higher risk
- Promotional or administrative inquiries (ie. credit grantor updates) will show on the report but it would not affect it